Insurance and Pensions Commission

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TO: All Insurers

All Brokers

CC: Insurance Council of Zimbabwe (ICZ)

Zimbabwe Association of Funeral Assurers (ZAFA)

Life Offices Association of Zimbabwe (LOA)

Insurance Brokers Association of Zimbabwe (IBAZ)

Zimbabwe Association of Reinsurance Organizations (ZARO)

AMENDMENTS TO THE DIRECTIVE ON SYSTEM OF GOVERNANCE AND RISK MANAGEMENT FOR INSURANCE COMPANIES AND BROKER AGENTS GUIDELINES FRAMEWORK

1. In order to improve governance structures and systems as well as match best practice the Commission invited industry input for the amendments to the Directive on Governance and Risk Management for Insurance Companies and the Broker Agents Guidelines.

2. The following is a summary of the changes to the two regulatory instruments:

3. DIRECTIVE ON GOVERNANCE AND RISK MANAGEMENT FOR INSURANCE COMPANIES

(a) by the repeal of section 4.2.5. The section is already contained in the Insurance Principal Regulations Statutory Instrument 49 of 1989 as amended by Section 4 of SI 59 of 2005.

(b) by the repeal of section 4.2.8 and the substitution by the following—

"4.2.7 No nominee company or family trust shall, directly or indirectly, own significant shareholding in an insurance company unless the ultimate beneficial owners of such nominee company or the control information of the family trust has been revealed to the Commission and the trust should be registered".

(c) by the repeal of section 4.3.3 and the substitution by the following –

4.3.3(a) (i) The majority of the Board of Directors of an insurer shall at all times consist of non-executive directors. The majority of the Non-Executive Directors must be independent to promote objectivity in decision making by the board of Directors. The Principal Officer shall be an *ex-officio* member of the Board of Directors of the insurer.

(ii) The Board of Directors may invite any person to attend a meeting of the Board of Directors where the Board of Directors considers that the person has special knowledge or experience in a matter to be discussed by the Board of Directors at that meeting:

Provided that the invited person shall not have any voting rights.

(iii) The Independent Directors shall be free from any business relations or other associations, including those arising out of involvement in the past management or as a supplier, customer, or adviser that could materially interfere with the exercise of their independent judgment.

(iv) Where the Articles of Association of the insurer allows for the appointment of an alternate director, such appointment shall be approved by the Commission and the person so appointed shall not be a sitting member of the Board of Directors.

4.3.3(b)(i) The Board of Directors of an insurer shall consist of an appropriate number and mix of individuals to ensure that there is an overall adequate spread and level of expertise at Board level commensurate with the nature, scale and complexity of the business and risks of the insurer.

(ii) The Board of Directors must at least have individuals with qualifications and experience in insurance and risk management, investment, legal, and accounting.

(d) by the repeal of section 4.10.5(c) and the substitution by the following –

4.10.5(c) undertaking due diligence enquiry in respect of directors and senior management with a view to ensure that the directors and senior management of the insurer meet the "fit and proper" criteria after every 5 years. The criteria to be satisfied, at a minimum, would relate to integrity demonstrated in personal behaviour and business conduct, soundness of judgment and financial soundness.

(e) by the repeal of section 4.16.4 and the substitution by the following –
4.16.1 A principal officer shall be an individual who holds a qualification in insurance (minimum of a diploma), or any other qualification approved by the Commission, and who has more than five (5) years' experience in a managerial capacity in the insurance sector.

(f) by the repeal of section 4.16.6 and the substitution by the following –
4.16.6 In case of the principal officer being out of office for a period of at least three (3) weeks the Commission shall be promptly informed of the development and the acting arrangements.

(g) by the insertion of section 9.2.4(b) which reads –

An external Actuary shall be appointed or shall save a maximum of five (5) years. Reappointment of the same Actuary is subject to a cooling off period of three (3) years.

4. GUIDELINES FOR INSURANCE BROKERS AND AGENTS (INDIVIDUAL AGENTS, CORPORATE AGENTS AND MULTIPLE AGENTS)

(a) By the deletion of the last part of section 6.4.6 which reads "Tied agents do not have to disclose their commission".

(b) By the deletion of last part of Section 6.5.2 which reads. "... agents must possess a minimum of 5 O-levels, five years' experience and a Certificate of Proficiency in the relevant class of insurance business. The section will now read as:

"Must at all times possess the prescribed qualifications, in terms of Circular 14 of 2022 or as amended".

(c) Under section 6.7.4 by the addition of " ..... or any other timeframe as communicated from time to time...". The section will read as: "Premiums must be remitted to the insurer within seven working days or any other timeframe as communicated from time to time and all necessary steps to protect consumer interests and assets must be implemented".

(d) Section 6.11.3 By deletion of reference to monetary threshold on the quantum of business written by an agent within a single quarter to an aggregate of 250 policies within a single quarter.

(e) Under section 6.13.2 by the addition of " ..... or any other timeframe as communicated from time to time...". The section will read as: "An insurance broker is required to hold premiums received from policyholders for onward transmission to the respective insurer(s) in trust for a maximum of seven working days or any other timeframe as communicated from time to time".

Grace Muradzikwa

COMMISSIONER OF INSURANCE PENSION AND PROVIDENT FUNDS

INSURANCE AND PENSIONS COMMISSION

GUIDELINES FOR INSURANCE BROKERS AND AGENTS (INDIVIDUAL AGENTS, CORPORATE AGENTS AND MULTIPLE AGENTS)

Contents

1. INTRODUCTION

1.1. These Guidelines are issued in terms of section 6b of the Insurance Act [*Chapter 24:07*] in terms of which the Commission is enjoined to supervise the activities of registered insurers, insurance agents and insurance brokers.

2. INTERPRETATION

2.1. In these Guidelines, unless the context indicates otherwise, the following terms have the following specific meanings assigned to them

i. *Consumer* – means a potential or existing policyholder;

ii. *Insurer* – means an insurer as defined in the Insurance Act and includes a reinsurer and a mutual society;

iii. *Intermediary* – refers to agents and brokers in their particular role of linking insurers and consumers; and

iv. *Tied agent* – means an individual agent or corporate agent who represents a single insurer.

3. SCOPE OF APPLICATION OF THE GUIDELINES

3.1. These Guidelines seek to outline the market conduct and standards expected of insurance intermediaries. The guidelines provide general guidance in the conduct of business by intermediaries and should not be misconstrued as replacing or overriding any legislative provisions or Directives issued under the Insurance Act [*Chapter 24:07*].

3.2. These Guidelines should be read in conjunction with the provisions of the Insurance Act which include Statutory Instruments, Directives, Circulars, notices and other Guidelines that the Commission may issue from time to time.

3.3. These Guidelines, though not directly meant for insurers, bind insurers in their capacity as principals of insurance intermediaries.

4. BACKGROUND

4.1. Brokers and agents are an important delivery mechanism of the insurance value chain and play a critical role in improving the consumer's access to insurance products.

4.2. When functioning optimally, brokers and agents are important as intermediaries between insurers and consumers and help in simplifying often complex insurance matters to the transacting public.

4.3. Insurance intermediaries play a critical role in the efficient functioning of insurance markets by matching insurance products and services with consumer needs and reducing information asymmetries potentially present in an increasingly complex market[1].

4.4. On the other hand, if brokers and agents do not properly carry out their functions, policyholder confidence in the insurance sector is severely compromised.

4.5. It is from this background that these Guidelines have been developed. The purpose of these Guidelines is to enhance the supervision of the activities of insurance brokers and agents to ensure the protection of the rights, benefits and other interests of policyholders and of any beneficiaries of policies.

5. DEFINITIONS AND FUNCTIONS

5.1. According to the Insurance Act [*Chapter 24:07*], an insurance agent is: "a person who, on behalf of a registered insurer or registered insurers—

(a) initiates insurance business; or

(b) does any act in relation to the receiving of proposals for insurance, the issue of policies or the collection of premiums;

but does not include an employee of a registered insurer who receives a salary"

[1] OECD (2020) Regulatory and Supervisory Framework for Insurance Intermediation

5.2. An insurance broker is defined in the Insurance Act as:

"a person who, on behalf of any other person negotiates insurance business with insurers, and includes a person who negotiates reinsurance business on behalf of any other person, but does not include an employee of a registered insurer who receives a salary;"

5.3. From the definitions above it is clear that the key difference between insurance agents and insurance brokers lies in their agency, that is, the person on whose behalf they act.

5.4. Insurance agents act on behalf of the insurer to initiate insurance business whereas brokers negotiate insurance business on behalf of any other person. In both instances, an employee of an insurer cannot act as a broker or an agent. This position is buttressed by Circular 6 of 2017.

5.5. Insurance Agents may act on behalf of a single insurer (tied agents) or on behalf of multiple insurers (multiple agents).

5.6. A multiple agent is defined in the Insurance Regulations, Statutory Instrument 49 of 1989 as "an agent representing more than one registered insurer in any of the three: life insurance business; non-life insurance business and both life and non-life insurance business"

5.7. The distinction between brokers and tied agents is simple enough, the broker represents the policyholder and may negotiate with insurers to obtain the most suitable product(s) for the policyholder. The agent is tied to the insurer and acts on behalf of that insurer only.

5.8. The distinction between a broker and a multiple agent on the other hand is not as clear cut in practice. A multiple agent by definition may represent more than one insurer, meaning that in the conduct of business the multiple agent may offer to the policyholder, products from different insurers.

5.9. In this way the multiple agent performs a similar function to the function of an insurance broker. To compound the problem brokers and agents in practice do not always solely act for either the insurer or the consumer.

5.10. A broker collects premiums and remits them to the insurer, in this way the broker can be said to be performing functions on behalf of the insurer.

5.11. A multiple agent may explain to a policyholder the features of the different products of the numerous insurers which it represents and in this way may be viewed as advising policyholders and not necessarily acting on behalf of the insurer.

5.12. In terms of the Insurance Act and regulations, brokers, being independent from the control of insurers, are subject to more onerous requirements than multiple agents in terms of capital, requirement for professional indemnity insurance, shareholding and corporate governance.

5.13. The rationale is that agents are under the control of insurers on whose behalf they act and the insurers thus act as a safeguard that the agents adhere to the appropriate standards.

6. GUIDELINES FOR THE CONDUCT OF BUSINESS

6.1. In addition to the regulations in terms of the Insurance Act, legal instruments and other guidelines issued by the Commission in respect to the conduct of business by insurance brokers and insurance agents, the following guidelines shall be observed by insurers, insurance brokers and insurance agents.

Principles to be observed in the conduct of business

6.2. In line with the agent – principle relationship insurers are liable for the actions of agents acting on their behalf. Insurers must ensure that their agents comply with all applicable laws and guidelines.

6.3. Insurance Brokers and Insurance Agents must conduct business in the respective class of insurance business they are authorised

6.3.1. Insurance Agents and Insurance Brokers must possess <u>valid</u> and <u>appropriate</u> certificates of registration or licences as the case maybe;

6.3.2. Where a licence has expired, an insurance agent may not carry-on business unless such licence has been renewed; and

6.3.3. Insurance Brokers and Insurance Agents must display their certificates of registration / licences prominently at the reception of each of their office / place of business or produce such certificate / licence before initiating or negotiating insurance business.

6.4. *Insurance Brokers and Insurance Agents must always act in the best interests of the consumer and disclose all necessary information*

6.4.1. Insurance Brokers and Insurance Agents must act honestly at all times;

6.4.2. Insurance Brokers and Insurance Agents must treat consumers fairly and act in the best interests of the consumer;

6.4.3. Insurance Brokers and Insurance Agents must not give misleading or false information to consumers, only marketing materials approved by the insurer may be used;

6.4.4. Insurance Brokers and Insurance Agents must avoid conflict of interests in the conduct of business and must disclose any such conflict to the consumer;

6.4.5. Insurance Agents and Insurance Brokers must disclose the scope of their registration/ licence to consumers and must only act within the limits of the scope of their registration / licence;

6.4.6. Insurance Brokers and Insurance Agents must disclose their interests, that is, the insurer whom they represent (where applicable), commission, fees or other interests pecuniary or otherwise.

6.4.7. Insurance Brokers and Insurance Agents must inform consumers of their contact details and address as well as the contact details and address of the insurer they represent / whose products they recommend;

6.4.8. Insurance Brokers and Insurance Agents must advise consumers of all the features and benefits of any insurance product(s) they recommend and ensure that the consumer has fully understood the features thereof;

6.4.9. Insurance Brokers and Insurance Agents must advise consumers of their right to cancel a product and the period within which such cancellation may be done (cooling off period), implications of cancellation, exclusions and other essential provisions of the respective contract of insurance;

6.4.10. Insurance Brokers and Insurance Agents must give impartial advice;

6.4.11. Insurance Brokers and Insurance Agents must give consumers sufficient information to enable consumers to make informed decisions;

6.4.12. Insurance Brokers and Insurance Agents must use simple and comprehensible language to explain the features and provisions of the insurance contracts to consumers;

6.4.13. Insurance Brokers and Insurance Agents must recommend products that are suitable for the particular needs of the consumer taking into account the consumer's circumstances;

6.4.14. Thus, before recommending a particular insurance product to a consumer, an insurance broker or insurance agent must enquire into the consumer's needs and obtain as much relevant information as is reasonably possible;

6.4.15. All information received from a consumer must be treated with the strictest confidence;

6.4.16. An insurance agent must refer a consumer to a registered insurance broker where the products offered by the insurer represented by the insurance agent are not suitable for the consumer;

6.4.17. Insurance Brokers and Insurance Agents must not advise consumers on products unless they have sufficient knowledge and necessary expertise;

6.4.18. Insurance Agents and Insurance Brokers must advice the consumer of the duty of the consumer to disclose all material facts as required by section 83A of the Insurance Act and ensure that the consumer has understood this duty and implications of not doing so; and

6.4.19. Insurance Agents and Insurance Brokers must advise consumers of the procedure for lodging claims as prescribed by the insurer including the required information/ documents and timeframes.

6.5. *Insurance Brokers and Insurance Agents must be suitably qualified and be fit and proper*

6.5.1. Insurance Brokers and Insurance Agents must be fit and proper on an ongoing basis; and

6.5.2. Must at all times possess the prescribed qualifications, in terms of Circular 9 of 2006.

6.6. *Insurance Brokers and Insurance Agents must exhibit a reasonable standard of care and exercise due diligence*

6.6.1. Insurance Brokers and Insurance Agents must at all times carry out their functions to a reasonable standard of care and skill and with due diligence;

6.6.2. The reasonable standard of care, in this respect, is the standard expected of a reasonable professional insurance broker or insurance agent in carrying out the functions of an insurance broker or insurance agent;

6.6.3. Where a licensed insurance broker or insurance agent employs or engages another person in its carrying out its functions, the insurance broker or insurance agent should ensure the person has the integrity and competence to discharge the duties for which the person is employed or engaged and supervise that person diligently in performing such duties;

6.6.4. The Insurance Broker or Insurance Agent remains responsible and liable for the actions of its employees or representatives while carrying out the functions of the Insurance Broker or Insurance Agent.

6.7. *Insurance Brokers and Insurance Agents must have in place the adequate systems to manage risks and ensure that the best interests of consumers are protected*

6.7.1. Appropriate and adequate governance structures to safeguard consumer interests and assets must be put in place;

6.7.2. Policies and Procedures encompassing all aspects of Insurance Agents (Multiple Agents & Corporate Agents) or Insurance Brokers encapsulating the principles outlined herein must be put in place;

6.7.3. The Policies and Procedures of the Insurance Agents or Insurance Brokers must be documented and all of the employees / representatives of the corporate insurance agent or insurance broker must adhere to them;

6.7.4. Premiums must be remitted to the insurer within seven working days or any other timeframe as communicated from time to time and all necessary steps to protect consumer interests and assets must be implemented.

6.7.5. Minimum Capital Requirements and / or other forms of security prescribed must be maintained at all times; and

6.7.6. Adequate professional indemnity insurance must be maintained at all times.

6.8. *Insurance Brokers and Insurance Agents must act honestly and ethically at all times and comply with the law*

6.8.1. The Insurance Broker or Insurance Agent must comply with all relevant provisions of the Insurance Act, the Insurance and Pensions Commission Act and the Regulations made thereunder and any other relevant law.

6.9. *Employees of insurers may not act as insurance brokers or insurance agents*

6.9.1. Employees of an insurer and other persons with access to an insurer's information on past or present policyholders may neither act as insurance agents of an insurer nor as insurance brokers.

6.10. Complaints Handling and Record Keeping

6.10.1. Insurance Brokers and Insurance Agents must have documented complaints handling procedures;

6.10.2. Insurance Brokers and Insurance Agents must have a complaints register to record consumer complaints;

6.10.3. Insurance Brokers and Insurance Agents must inform consumers of their complaints handling process and the complaints register;

6.10.4. Insurance Brokers and Insurance Agents are required to advise consumers of their right to approach the Insurance and Pensions Commission or the insurer if they are not satisfied with the service rendered by the Insurance Broker or Insurance Agent;

6.10.5. Insurance Brokers and Insurance Agents must maintain necessary records of their business and activities and maintain their records for a minimum period of 10 years.

6.11. Tied Agents

6.11.1. A tied agent must disclose to consumers the specific insurer that they represent, the commission and any other fees that they earn for initiating the insurance business.

6.11.2. A tied agent must advise consumers to approach registered insurance brokers for specialised advice on insurance products.

6.11.3. An insurer is required to inform the Commission when any of its tied agents sells an aggregate of at least 250 policies within a single quarter.

6.11.4. The Commission may from time to time set a limit of the monetary value or the number of policies that a tied agent may sell in a specified period.

6.11.5. Except for the commission or any other fee which the tied agent is entitled to receive from the insurer, a tied agent may not charge any fees of any kind to consumers.

6.12. Multiple Agents

6.12.1. A multiple agent must disclose to a consumer the insurers who he/she represents;

6.12.2. A multiple agent must also disclose the commission that he/she will earn in respect of the different products the policyholder proposes;

6.12.3. A multiple agent is required to advise consumers to approach registered insurance brokers for specialised advice appropriate insurance products;

6.12.4. A multiple agent must be a person who has at least 3 years' experience as an agent in the class of insurance business in which the multiple agent intends to represent registered insurers;

6.12.5. A multiple agent may not represent more than 3 registered insurers in any one class of insurance business;

6.12.6. The Commission will, from time to time, set monetary limits of the amount of business which a multiple agent may conclude within one year;

6.12.7. A multiple agent that exceeds the set limit will be required to apply for deregistration as a multiple agent and apply for registration as an insurance broker;

6.12.8. Except for the commission or any other fee which the multiple agent is entitled to receive from the insurer, a multiple agent may not charge any fees of any kind to consumers.

6.13. Insurance Brokers

6.13.1. Insurance brokers must disclose to the consumer, the brokerage commission or fee which they will earn.

6.13.2. An insurance broker is required to hold premiums received from policyholders for onward transmission to the respective insurer(s) in trust for a maximum of seven working days or any other timeframe as communicated from time to time.

7. PENALTIES FOR NON-COMPLIANCE

7.1. The Commission shall invoke any of the following sanctions to any intermediary who contravenes the provisions of these guidelines:

(a) Direct the intermediary to meet the loss occasioned by such contravention;

(b) Decline to renew the intermediary`s licence;

(c) S-rate the intermediary or its senior executives for a period of three to five years depending on the severity of the matter;

(d) Issue a public statement warning members of the public against transacting business with the respective intermediary;;

(e) Suspend the intermediary`s licence for a specified period;

(f) Cancel the intermediary`s licence; and

(g) Any other measures as prescribed in the Insurance Act.

8. REVIEW OF THE GUIDELINES

8.1. The Commission may review, amend or revoke these Guidelines if it is in its opinion necessary to do so.

9. EFFECTIVE DATE OF THE GUIDELINES

9.1. These guidelines shall become effective on the 1st of April 2022